CFD Challenge Rules

Fewpips sets specific rules for CFD challenges to ensure fair, transparent, and sustainable trading for everyone. These rules are designed to:

- **Protect traders and capital:** By recommending risk limits, we help traders avoid large, damaging losses and encourage disciplined trading habits. This supports long-term growth rather than quick, risky wins.

- **Maintain fairness:** Prohibited practices—such as latency trading, arbitrage, exploiting low-liquidity markets, and one-sided betting—are banned because they give unfair advantages, distort market integrity, and undermine genuine skill-based trading.

- **Promote consistency:** Traders must use consistent strategies throughout their challenge and funded account phases to ensure performance reflects real skill, not loopholes or sudden changes in approach.

- **Discourage gambling:** Excessive margin use (70%+) is considered gambling and is not allowed, as it exposes accounts to unnecessary risk and potential termination.

Overall, these rules help create a level playing field, protect both traders and our simulated capital, and foster a professional trading environment focused on repeatable, disciplined success.

CFD Challenge Rules

Fewpips 1-Step Challenge Rules:

• Maximum Daily Loss Limit - 4% of Initial Balance.

• Maximum Loss Limit (MLL) - See Below (Point 2)

• Minimum Trading Days - See below (Point 6)

• Profit Target: 10%

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1. Daily Loss Rule

The Daily Loss Limit is calculated using the formula:

Start-of-day equity - the lowest floating equity of the day must not exceed the allowed percentage.

This rule applies to both open (floating) and closed trades.

Here are the Daily Loss Limits:
1. 1-Step: 4%

Example:
For a $100,000 Fewpips 1-Step Account:
The daily loss limit is 4%, which equals $4,000. If the trader starts the day at $100,000, the trader cannot lose more than $4,000 in total during that day. If the trader first makes a $2,000 profit, the daily limit increases to $6,000 for that day ($4,000 + $2,000 profit). If the total loss reaches that amount, including open trades, the account will be breached.

If the account is $100,000 with a 4% Daily Loss Limit and the trader loses $4,000 in one day, they will breach the Daily Loss Limit making the trader breach the account.

Example Visual:
- Start: $100,000 → Low: $97,200 → Loss: $2,800 → **OK**
- Start: $100,000 → Low: $95,600 → Loss: $4,400 → **Violation**

CFD Challenge Rules

2. **Maximum Loss Limit**

The Maximum Loss Limit (MLL) is a trailing loss limit that moves up as the account makes profits, but it never moves down after losses, and it can never go above the starting balance.

On all Fewpips accounts, the MLL is a trailing Maximum Loss Limit.

Here are the Maximum Loss Limits:

Fewpips 1 - Step:

$5,000: 6%

$10,000: 7%

$25,000: 8%

$50,000: 9%

$100,000: 10%

Key points:

• It only increases with profit.
• It never decreases with losses.
• It is capped at the initial account balance.
• Withdrawals do not reset or reduce the MLL; it stays at the highest level it has ever reached.

Example:

For a $10,000 Fewpips 1-Step Account (7% trailing Maximum Loss Limit).

Start: Equity $10,000 → Maximum Loss Limit breach point = $9,300 (7% below $10,000).

• After +$200 profit: Equity $10,200 → Maximum Loss Limit moves up to $9,500.
• Then -$100 loss: Equity $10,100 → Maximum Loss Limit stays at $9,500 (it never moves down).
• Then +$300 profit: Equity $10,400 → Maximum Loss Limit moves up to $9,700
• Then +$400 profit: Equity $10,700 → Maximum Loss Limit reaches $10,000 (capped at the initial balance).

If the equity is $10,500 and the MLL is $10,000, the trader has a $500 buffer. If the trader withdraws $300, their equity drops to $10,200, but the MLL stays at $10,000. The buffer just shrank from $500 to $200. If the equity ever touches or goes below the active Maximum Loss Limit, it is a breach.

<u>**CFD Challenge Rules**</u>

Example Visual:

- Start: $100,000 → Low: $95,200 → Loss: $4,800 → **OK**
- Start: $100,000 → Low: $92,600 → Loss: $7,400 → **Violation**

3. **Minimum Trading Days**

<u>**Fewpips 1 - Step:**</u>
$5,000: 5 Minimum trading days.
$10,000: 4 Minimum trading days.
$25,000: 3 Minimum trading days.
$50,000: 2 Minimum trading days.
$100,000: 2 Minimum trading days.

4. **News Trading Policy**
Trading prohibited during major high-impact news. 5 minutes before and 5 minutes after the event(FOMC, CPI, NFP, rate decisions)

5. **EAs & Bots -** *EAs/Bots permitted under* ***<u>STRICT</u>*** *compliance. Use of EAs requires* ***prior approval*** *and submission of strategy documentation.*

<u>Prohibited:</u>
- HFT
- Latency arbitrage
- Tick Manipulation
- Extreme grids/martingales
- Replication across multi-IPs.
- Copy trading.

6. **Prohibited Activities**
• Hedging between Multiple accounts.
• Multi-IP Abuse
• Artificial volume creation
• Arbitrage exploitation.
• Multi-account scaling abuse
• Trading accounts of third parties
• Sale of trader accounts
• Replication farms
• Feed exploitation
• One-sided betting
• Loss on a single trade should not exceed 2% of the account size (initial balance)

7. **Allowed Instruments**
FX, indices, metals, commodities, crypto CFDs.

8. **All rules** apply to floating and closed trades.

9. **Violations** immediately breach the account.

10. **The system** always uses the lowest equity point for rule checks.

11. **Account Activity Requirements:** The Provider requires Traders to remain active to maintain their accounts. Accounts in the Challenge Phase will be marked inactive if no trades are placed for 7 consecutive days. Inactive accounts will be deactivated to maintain platform stability. The Trader can prevent inactivity by executing at least one trade within the required timeframe.

Fewpips 2-Step Challenge Rules:

• Maximum Daily Loss Limit - 4% of Initial Balance.

• Maximum Loss Limit (MLL) - 8% of Initial Balance

• Minimum Trading Days - 5 Days. *(Does not have to be consecutive)*

• Profit Targets: P1: 8% P2: 5%

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1. Daily Loss Rule

The Daily Loss Limit is calculated using the formula:

Start-of-day equity - the lowest floating equity of the day must not exceed the allowed percentage.

This rule applies to both open (floating) and closed trades.

Here are the Daily Loss Limits for each account type:
1. 2-Step: 4%

Example:
For a $100,000 Fewpips 2-Step Account:
The daily loss limit is 4%, which equals $4,000. If the trader starts the day at $100,000, the trader cannot lose more than $4,000 in total during that day. If the trader first makes a $2,000 profit, the daily limit increases to $6,000 for that day ($4,000 + $2,000 profit). If the total loss reaches that amount, including open trades, the account will be breached.

If the account is $100,000 with a 4% Daily Loss Limit and the trader loses $4,000 in one day, they will breach the Daily Loss Limit making the trader breach the account.

Example Visual:
- Start: $100,000 → Low: $97,200 → Loss: $2,800 → **OK**
- Start: $100,000 → Low: $95,600 → Loss: $4,400 → **Violation**

2. **Maximum Loss Limit**

The Maximum Loss Limit (MLL) is a trailing loss limit that moves up as the account makes profits, but it never moves down after losses, and it can never go above the starting balance.

On all Fewpips accounts, the MLL is a trailing Maximum Loss Limit.

Here are the Maximum Loss Limits:

Fewpips 2 - Step:

$5,000: 8%

$10,000: 8%

$25,000: 8%

$50,000: 8%

$100,000: 8%

Key points:

• It only increases with profit.
• It never decreases with losses.
• It is capped at the initial account balance.
• Withdrawals do not reset or reduce the MLL; it stays at the highest level it has ever reached.

Example:

For a $10,000 Fewpips 2-Step Account (8% trailing Maximum Loss Limit).

Start: Equity $10,000 → Maximum Loss Limit breach point = $9,200 (8% below $10,000).

• After +$200 profit: Equity $10,200 → Maximum Loss Limit moves up to $9,400.
• Then -$100 loss: Equity $10,100 → Maximum Loss Limit stays at $9,400 (it never moves down).
• Then +$300 profit: Equity $10,400 → Maximum Loss Limit moves up to $9,700
• Then +$500 profit: Equity $10,900 → Maximum Loss Limit reaches $10,000 (capped at the initial balance).

If the equity is $10,900 and the MLL is $10,000, the trader has a $900 buffer. If the trader withdraws $300, their equity drops to $10,600, but the MLL stays at $10,000. The buffer just shrank from $900 to $600. If the equity ever touches or goes below the active Maximum Loss Limit, it is a breach.

Example Visual:

- Start: $100,000 → Low: $95,200 → Loss: $4,800 → **OK**
- Start: $100,000 → Low: $92,600 → Loss: $7,400 → **Violation.**

3. **Minimum Trading Days -** *(Does not need to be consecutive)*

Fewpips 2 - Step:

$5,000: 5 Minimum trading days.
$10,000: 5 Minimum trading days.
$25,000: 5 Minimum trading days.
$50,000: 5 Minimum trading days.
$100,000: 5 Minimum trading days.

4. **News Trading Policy**

Trading prohibited during major high-impact news. 5 minutes before and 5 minutes after the event (FOMC, CPI, NFP, rate decisions).

5. **EAs & Bots -** *EAs/Bots permitted under **STRICT** compliance. Use of EAs requires **prior approval** and submission of strategy documentation.*

Prohibited:

- HFT
- Latency arbitrage
- Tick Manipulation
- Extreme grids/martingales
- Replication across multi-IPs.
- Copy trading.

6. **Prohibited Activities**

• Hedging between Multiple accounts.
• Multi-IP Abuse
• Artificial volume creation
• Arbitrage exploitation.
• Multi-account scaling abuse
• Trading accounts of third parties
• Sale of trader accounts
• Replication farms
• Feed exploitation
• One-sided betting
• Loss on a single trade should not exceed 2% of the account size (initial balance)

7. **Allowed Instruments**

FX, indices, metals, commodities, crypto CFDs.

8. **All rules** apply to floating and closed trades.

9. **Violations** immediately breach the account.

10. **The system** always uses the lowest equity point for rule checks.

11. **Account Activity Requirements:** The Provider requires Traders to remain active to maintain their accounts. Accounts in the Challenge Phase will be marked inactive if no trades are placed for 7 consecutive days. Inactive accounts will be deactivated to maintain platform stability. The Trader can prevent inactivity by executing at least one trade within the required timeframe.

Fewpips 3-Step Challenge Rules:

• Maximum Loss Limit (MLL) - 8% of Initial Balance

• Daily Loss Limit - 5% of Initial Balance

• Minimum Trading Days - 5 Days. *(Does not have to be consecutive)*

• Profit Targets: 8% → 4% → 4% *(Phase 1/ Phase 2/ Phase 3)*

1.**Daily Loss Rule**

The Daily Loss Limit is calculated using the formula:

Start-of-day equity - the lowest floating equity of the day must not exceed the allowed percentage.

This rule applies to both open (floating) and closed trades.

Here are the Daily Loss Limits for each account type:
1. 3-Step: 5%

Example:
For a $100,000 Fewpips 3-Step Account:
The daily loss limit is 5%, which equals $5,000. If the trader starts the day at $100,000, the trader cannot lose more than $5,000 in total during that day. If the trader first makes a $2,000 profit, the daily limit increases to $7,000 for that day ($5,000 + $2,000 profit). If the total loss reaches that amount, including open trades, the account will be breached.

<u>CFD Challenge Rules</u>

If the account is $100,000 with a 5% Daily Loss Limit and the trader loses $5,000 in one day, they will breach the Daily Loss Limit making the trader breach the account.

Example Visual:
- Start: $100,000 → Low: $97,200 → Loss: $2,800 → **OK**
- Start: $100,000 → Low: $95,600 → Loss: $4,400 → **Violation**

2. **<u>Maximum Loss Limit</u>**

The Maximum Loss Limit (MLL) is a trailing loss limit that moves up as the account makes profits, but it never moves down after losses, and it can never go above the starting balance.

On all Fewpips accounts, the MLL is a trailing Maximum Loss Limit.

<u>Fewpips 3 - Step:</u>

$10,000: 8%
$25,000: 8%
$50,000: 8%
$100,000: 8%
$200,000: 8%

Key points:

• It only increases with profit.
• It never decreases with losses.
• It is capped at the initial account balance.
• Withdrawals do not reset or reduce the MLL; it stays at the highest level it has ever reached.

Example:

<u>For a $10,000 Fewpips 3-Step Account (8% trailing Maximum Loss Limit).</u>

Start: Equity $10,000 → Maximum Loss Limit breach point = $9,200 (8% below $10,000).

• After +$200 profit: Equity $10,200 → Maximum Loss Limit moves up to $9,400.
• Then -$100 loss: Equity $10,100 → Maximum Loss Limit stays at $9,400 (it never moves down).
• Then +$300 profit: Equity $10,400 → Maximum Loss Limit moves up to $9,700

• Then +$500 profit: Equity $10,900 → Maximum Loss Limit reaches $10,000 (capped at the initial balance).

If the equity is $10,900 and the MLL is $10,000, the trader has a $900 buffer. If the trader withdraws $300, their equity drops to $10,600, but the MLL stays at $10,000. The buffer just shrank from $900 to $600. If the equity ever touches or goes below the active Maximum Loss Limit, it is a breach.

Example Visual:
- Start: $100,000 → Low: $95,200 → Loss: $4,800 → **OK**
- Start: $100,000 → Low: $92,600 → Loss: $7,400 → **Violation**

3. **Minimum Trading Days -** *(Does not need to be consecutive)*

Fewpips 3 - Step:
$10,000: 5 Minimum trading days.
$25,000: 5 Minimum trading days.
$50,000: 5 Minimum trading days.
$100,000: 5 Minimum trading days.
$200,000: 5 Minimum trading days.

4. **News Trading Policy**
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5. **EAs & Bots -** *EAs/Bots permitted under **STRICT** compliance. Use of EAs requires **prior approval** and submission of strategy documentation.*

Prohibited:
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• Trading accounts of third parties
• Sale of trader accounts
• Replication farms

• Feed exploitation
• One-sided betting
• Loss on a single trade should not exceed 2% of the account size (initial balance)

7. **Allowed Instruments**
FX, indices, metals, commodities, crypto CFDs.

8. **All rules** apply to floating and closed trades.

9. **Violations** immediately breach the account.

10. **The system** always uses the lowest equity point for rule checks.

11. **Account Activity Requirements:** The Provider requires Traders to remain active to maintain their accounts. Accounts in the Challenge Phase will be marked inactive if no trades are placed for 7 consecutive days. Inactive accounts will be deactivated to maintain platform stability. The Trader can prevent inactivity by executing at least one trade within the required timeframe.

For All Challenge Accounts:

Account Activity Requirements: The Provider requires Traders to remain active to maintain their accounts. Accounts in the Challenge Phase will be marked inactive if no trades are placed for 7 consecutive days. Inactive accounts will be deactivated to maintain platform stability. The Trader can prevent inactivity by executing at least one trade within the required timeframe.

Automated Account Upgrade: If there are phases in the challenge you have purchased, when the user completes the phase, the system will automatically upgrade their account to the next phase and send new account credentials to the user - disabling the old account. When the user completes their final phase, a human interaction will take place to audit the account prior to being upgraded to a funded account. The audit will consist of rule criteria, violations checks and to ensure the user has fully complied with the terms and conditions set out by Fewpips.